

**Time:** 5 minutes**Outcome:** Classify bank accounts and trace how transactions change reserves and capital.**Difficulty:** ●●○ Intermediate

Bank Balance Sheets, Reserves, and Capital

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THE CORE IDEA

A bank balance sheet satisfies $\text{assets} = \text{liabilities} + \text{capital}$. Reserves, loans, and securities are assets. Deposits and bank borrowing are liabilities. Bank capital is owners' equity: $\text{assets} - \text{liabilities}$. Reserves provide liquidity and help meet withdrawals; capital absorbs asset losses. Required reserves and capital requirements therefore constrain different parts of the balance sheet.

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HOW TO RECOGNIZE IT

- A customer's deposit is a bank liability; the cash or reserve balance received is an asset.
- A cash withdrawal reduces both reserves and deposits by the same amount.
- A loan is a bank asset because the borrower owes the bank repayment.
- An asset loss reduces capital when liabilities do not change.

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WATCH OUT

Do not call reserves bank capital. Reserves are assets available for payments; capital is the residual claim, $\text{assets} - \text{liabilities}$, that cushions losses.

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WORKED EXAMPLE: CAPITAL ABSORBS AN ASSET LOSS

KEY RELATIONSHIPS

- assets and liabilities
- reserves
- bank capital
- deposits and withdrawals
- asset losses

A bank holds \$120 in reserves, \$780 in loans, and \$100 in securities: assets are \$1,000. Deposits of \$900 and borrowing of \$40 make liabilities \$940, so capital is \$60. A \$25 loan loss cuts assets to \$975 while liabilities stay \$940. Capital falls to \$35; reserves remain \$120.

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CHECK YOURSELF

If a depositor withdraws \$20 in cash, which asset and which liability fall?

**READY?****Return to the game and master this concept.**